R. ALLY'S
Equities

RALLYS EQUITIES PRIVATE LIMITED

Policy on Unethical Conduct and Market Abuse

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Applies to: Rallys Equities (Pvt) Limited, all employees, directors, agents, and associated persons

Effective date: January 1, 2026

Approval: Board of Directors

Policy owner: Head of Compliance and Risk Management

Review frequency: Annually or upon any regulatory change

1. Purpose

This policy establishes a framework for the prevention, detection, and reporting of unethical conduct and market abuse within the brokerage in accordance with the regulatory requirements of SECP, PSX, NCCPL, and CDC.

The purpose of this policy is to promote integrity, fairness, transparency, and investor protection in Pakistan's capital markets.

2. Regulatory Framework

This policy is aligned with:

1. The Securities Act, 2015, including provisions relating to market manipulation, false trading, and insider trading.
2. SECP regulations, directives, and requirements relating to market abuse.
3. The PSX Rule Book, including the Code of Conduct for TREC holders and provisions prohibiting market manipulation and abuse.
4. Applicable AML/CFT regulations relating to the identification and reporting of suspicious transactions.
5. The Companies Act, 2017, including provisions relating to directors' duties and ethical conduct.

3. Scope

This policy applies to all activities undertaken by:

1. Employees.
2. Directors.
3. Associated persons.
4. Authorized agents.
5. Clients where Rallys Equities (Pvt) Limited may be directly or indirectly involved.

4. Definitions of Unethical Conduct and Market Abuse

4.1 Insider Trading

Trading or dealing in securities on the basis of material, non-public information.

4.2 Market Manipulation

Any activity intended to create a false or misleading appearance of trading activity, market price, demand, or supply, including wash trades and pump-and-dump schemes.

4.3 Front Running

Trading ahead of a client order or using advance knowledge of a client's order for personal or proprietary gain.

4.4 Churning

Excessive trading in a client's account primarily for the purpose of generating commissions or other benefits.

4.5 Misrepresentation or Fraud

Providing false, incomplete, deceptive, or misleading information to clients, regulators, or other relevant parties.

4.6 Improper Use of Client Assets

Any unauthorized use, transfer, pledge, retention, or disposal of client funds or securities.

4.7 Conflict of Interest Abuse

Failure to identify, disclose, manage, or avoid a conflict of interest that may affect fair and objective dealing with clients.

5. Prohibited Activities

All employees, directors, agents, and associated persons shall not:

1. Trade or advise others to trade on the basis of inside information.
2. Manipulate or attempt to manipulate market prices, trading volumes, demand, or supply.
3. Induce clients to participate in fraudulent schemes or mis-sell securities, products, or services.
4. Front-run, conduct parallel trading, or misuse confidential client order information.
5. Delay, conceal, or inaccurately report transactions to PSX, NCCPL, CDC, SECP, or any other relevant authority.
6. Accept, offer, request, or provide bribes, kickbacks, gifts, or personal favours that may impair professional judgment or objectivity.
7. Share confidential client, business, or market information without proper authorization.
8. Misuse client funds, securities, accounts, or personal information.
9. Conduct transactions intended to create an artificial market or misleading appearance of trading activity.

6. Detection and Monitoring

6.1 Trade Surveillance

Orders and trades shall be monitored daily through back-office systems, trading systems, and other available surveillance tools.

6.2 Exception Reports

The Compliance Department shall generate and review exception reports relating to:

1. Unusual or irregular trades.
2. Wash trades.
3. Cross transactions.
4. Concentrated trading activity.
5. High-risk client accounts.
6. Unusual price or volume movements.

7. Potential front running or insider trading.

6.3 Whistleblowing Mechanism

A confidential reporting channel shall be maintained to enable employees and other relevant persons to report suspected unethical conduct or market abuse.

6.4 Client Reporting

Clients shall be encouraged to report any suspected mis-selling, market manipulation, unauthorized trading, misuse of assets, or other unethical conduct.

7. Reporting and Escalation

7.1 Internal Reporting

Any employee who becomes aware of, observes, or suspects unethical conduct or market abuse shall immediately report the matter to the Compliance Officer.

Employees shall not independently investigate the matter unless authorized to do so.

7.2 Regulatory Reporting

Suspicious transactions and confirmed or suspected instances of market abuse shall be reported to SECP, PSX, FMU, or any other relevant authority where required under applicable laws and regulations.

7.3 Escalation to Management

Material violations shall be escalated to the Chief Executive Officer, senior management, and the Board of Directors or relevant Board committee, as appropriate.

7.4 Protection Against Retaliation

Employees and other persons who report suspected misconduct in good faith shall be protected against retaliation, discrimination, harassment, or adverse treatment.

8. Investigation and Disciplinary Measures

8.1 Investigation

All reported or detected instances of suspected unethical conduct or market abuse shall be investigated promptly, independently, and confidentially.

8.2 Zero-Tolerance Approach

Violations of this policy may result in disciplinary action, including:

1. Formal warning.
2. Suspension.
3. Termination of employment or association.
4. Blacklisting, where legally permissible.
5. Recovery of losses or unlawful gains.
6. Reporting or referral to SECP, PSX, FMU, law-enforcement agencies, or other relevant authorities.

8.3 Restitution and Disgorgement

Any unlawful gain or benefit obtained through prohibited conduct shall be recovered or disgorged, where legally permissible.

8.4 Legal Action

Matters involving fraud, market abuse, insider trading, manipulation, or other criminal conduct may be referred for civil or criminal proceedings under the Securities Act, 2015, or any other applicable law.

9. Training and Awareness

1. All employees shall receive mandatory induction training relating to ethical conduct, insider trading, conflicts of interest, and market abuse.
2. Annual refresher training shall be conducted on applicable SECP and PSX rules and regulatory requirements.
3. Specialized training shall be provided to dealers, traders, research personnel, compliance staff, operations staff, and other employees exposed to market-sensitive information.
4. Relevant SECP and PSX notices, enforcement actions, regulatory updates, and case studies shall be circulated for awareness.

10. Record Keeping

1. Records of surveillance reports, alerts, investigations, findings, communications, disciplinary actions, and regulatory reports shall be maintained for at least five years or for any longer period required under applicable laws and regulations.
2. Records shall be maintained securely and in a manner that allows them to be readily retrieved and reviewed.
3. Relevant records shall be made available to SECP, PSX, NCCPL, CDC, FMU, or any other competent authority upon request.

11. Roles and Responsibilities

11.1 Board of Directors

The Board of Directors shall:

1. Approve and oversee the implementation of this policy.
2. Establish an appropriate ethical culture and tone from the top.
3. Review material instances of unethical conduct or market abuse.

11.2 Chief Executive Officer

The Chief Executive Officer shall:

1. Promote a strong compliance and ethical culture.
2. Ensure that adequate resources are available for monitoring and enforcement.
3. Support the independence and authority of the Compliance Department.

11.3 Head of Compliance

The Head of Compliance shall:

1. Implement and monitor compliance with this policy.
2. Review surveillance alerts and exception reports.
3. Conduct or coordinate investigations.
4. Ensure appropriate internal and regulatory reporting.
5. Liaise with regulators and other relevant authorities.
6. Maintain records of violations, investigations, and corrective actions.

11.4 Supervisors and Managers

Supervisors and managers shall:

1. Monitor the conduct of employees under their supervision.
2. Identify, prevent, and escalate suspected unethical practices.
3. Ensure that employees understand and comply with this policy.
4. Cooperate with investigations and corrective actions.

11.5 All Employees and Associated Persons

All employees and associated persons shall:

1. Comply with this policy and all applicable laws and regulations.
2. Avoid conduct that may compromise market integrity or client interests.
3. Protect confidential and market-sensitive information.
4. Report suspected violations promptly.
5. Cooperate fully with internal and regulatory investigations.

12. Review and Continuous Improvement

1. This policy shall be reviewed annually or whenever there is a material change in applicable laws, regulations, business activities, or regulatory guidance.
2. Internal Audit shall periodically assess compliance with this policy and the effectiveness of related controls.
3. Root-cause analysis shall be conducted for identified violations to strengthen preventive and detective measures.
4. Corrective actions shall be monitored until they have been fully implemented.
5. Monitoring systems, employee training, and internal controls shall be updated where weaknesses or emerging risks are identified.